

Fight over pay for people with disabilities may erupt next month

A new rule the Biden administration is considering could phase out a 90-year-old program that pays disabled workers far less than minimum wage

[Amanda Morris](#) August 30, 2024 at 6:00 a.m. EDT



Bill Schwartz, left, and Lisa Surfield sort through paperwork at Avenues of PA, a 14(c) facility in Pottsville, Pa. (Marvin Joseph/The Washington Post)

A decades-long fight over whether people with disabilities should be paid less than minimum wage is set to come to a head next month.

For nearly 90 years, disability activists have pushed to end a law that allows

employers to obtain a certificate that enables them to pay disabled workers less than the minimum wage. Some workers in the program make as little as 25 cents per hour.

Opponents of the law say that it is a Depression-era relic that devalues the work of people with disabilities and limits the types of work they can do. They've faced fierce pushback from a small cohort of well-organized defenders of the law, including some parents of disabled workers, who argue that for some, this program is their only opportunity to do meaningful work and earn a wage.

Congressional action to end the program nationwide has languished and President [Joe Biden](#), who promised during his 2020 campaign to phase it out, declined to take action for most of his presidency. That is set to change soon: Biden's Department of Labor has submitted a rule for review by the White House Office of Management and Budget that could fulfill his promise — and set off a massive legal and political battle, The Washington Post has learned.



Zachariah Johnson folds cardboard inserts at Eisenhower Center in Milwaukee. (Marvin Joseph/The Washington Post)



Doug Stas prepares chocolate products for shipping at Eisenhower Center. (Marvin Joseph/The Washington Post)

Officially called Section 14(c), the law was enacted by Congress as part of the 1938 Fair Labor Standards Act. Under the law, certified employers pay workers based on a per-item rate or calculations of their productivity relative to workers without disabilities. Many of these employers operate facilities, known as sheltered workshops, in which disabled workers are segregated from non-disabled workers.

The specifics of the rule the Labor Department is developing are not yet public, but it is likely to tighten reporting and enforcement requirements to ensure higher levels of compliance with the law — and could phase out the program altogether.

“The idea would be to not simply have as your goal compliance with the program but to have your goal be significantly downsizing the program with very, very substantial requirements,” said Seth Harris, a former acting labor secretary and deputy labor secretary under President Barack Obama, who surmised that the proposal would lean toward the “regulatory equivalent of abolition” of 14(c) programs.

Proposed changes to the program

A central unanswered question is just how much power Julie Su, the acting labor secretary, has to change or eliminate the program, and whether Congress or the courts will stop her.

Before the proposal can become final it must survive review by the Office of Management and Budget, a protracted public comment period and potential legal challenges.

Previous labor secretaries, including Marty Walsh, concluded that Congress, rather than the executive branch, has the authority to make any changes to the program. But people involved with the rulemaking process say that Su has been more receptive to arguments that the Labor Department has the authority to make substantial changes to the program without new legislation.

Any Biden administration reform of the program is destined to be challenged in court, one former Labor Department official under Obama argued.

"How long do you think it would last if Julie Su did that before it went to the Fifth Circuit in Texas?" said the former official, who spoke on the condition of anonymity to speak candidly, referring to the conservative-dominated federal appeals court. "They'd say it was an absolute overstepping of executive authority. It would be a Pyrrhic victory in this environment where executive authority is being challenged — the statute is very clear that it is Congress that created [the program]."

Outside groups and policymakers in Congress, however, have rallied around a different interpretation of the statute. In a May 2023 memo sent to Su, a coalition of disability groups argued that the Fair Labor Standards Act gives the Labor Secretary "full discretion" to begin phasing out the program

"without an act of Congress."

The ultimate fate of the Labor Department's proposal could rest largely on the outcome of the election and whether Democrats can hold the White House. Disability law experts note that a new rule could be effectively reversed through the Congressional Review Act, an oversight tool that Congress can use to halt the implementation of final rules issued by federal agencies. "The next president could come in and just flip the rule," said Walsh, Biden's first labor secretary, who believed Congress should act to amend the law.

Further weakening the department's legal hand is the recent Supreme Court ruling that jettisoned a long-standing legal precedent known as Chevron deference, curbing the power of federal agencies.

"Companies will immediately challenge the [rule] — the only problem standing in their way is optics: how this looks to the public and whether it could create a backlash with consumers against these companies," said Doron Dorfman, a professor of law at Seton Hall University Law School who focuses on disability and employment law.

Some states have already ended the program

While federal lawmakers have been locked in a partisan stalemate, local lawmakers have been busy implementing changes to the law at a state level.

So far, 13 states and D.C. have eliminated the program entirely and three others — California, Virginia, and Nevada — are in the process of phasing out the use of subminimum wages for disabled workers. In South Carolina, the deadline to phase out the program was Aug. 1, 2024, but as of that date, the state still had workers in the program. Illinois and Texas have also partially eliminated the practice.

Other state legislatures across the country are exploring ways to move away from the practice, while some, such as Missouri, have doubled down and invested more into protecting 14(c) programs. Activists maintain that the program will only be eliminated in hold-out states if policy changes happen at a federal level.

Still, many states have seen a notable decline in the number of workers paid under the special certificates over the past five years.

Between 2018 and 2024, the number of workers paid subminimum wages decreased by about 70 percent, according to a Post analysis of Labor Department data gathered by [New America](#), a liberal think tank in Washington. Across the 37 states where the program is still active as of July 2024, the number of workers paid subminimum wages typically decreased by 75 percent between 2018 and 2024. In Louisiana, the number of workers paid subminimum wages decreased by 96 percent and in Iowa, the number decreased by 92 percent over the same time period.

Supporters say they are protecting 'employment choice'

Defenders of the law are adamant that it helps employ people with disabilities. The Coalition for the Preservation of Employment Choice, a national network of businesses, families and other stakeholders, has lobbied federal and state lawmakers to preserve the program, branding its efforts as a fight to protect "employment choice."

Similarly, members of the A-Team, an advocacy group focused on employment and service choice, have worked since 2011 to preserve the law, holding monthly conference calls and lobbying lawmakers in state legislatures and in Washington.

Kit Brewer, the vice president of the Coalition to Preserve Employment

Choice and the executive director of a sheltered workshop in Missouri, told The Post that he viewed the public comment period as an opportunity to shape the policy with a potential "carveout." Brewer, who has an autistic son not employed under the program, said that he viewed his operation as a "safety net" for individuals who have struggled to make the transition to competitive integrated employment, and argued that the program served a "particular niche" of the disability community.

"Something needs to be available that is the desired choice of these men and women," said Brewer, who declined to say whether the coalition will challenge the Labor Department's proposal in court without seeing the exact language. "That's why you see the parent and family and individual's concern. You see the feeling of desperation and uncertainty ... we certainly don't want to see that group left out of services altogether."

How ending the program affects disabled workers

Brewer's worry — that workers wouldn't otherwise be able to work without the law — is the most common argument against phasing it out. The vast majority of subminimum wage workers have intellectual or developmental disabilities, a classification only represented as "cognitive" disabilities in census data.

But in all of the eight states that ended subminimum wage programs before 2022, employment rates for adults with cognitive disabilities have increased by at least 14 percent since legislation was passed or workshops closed in each state, when adjusted for overall employment rate growth, a Washington Post analysis found.

In Vermont, the employment rate for adults with cognitive disabilities has increased by 38 percent since 2016, when the state's certificate program

ended, reaching nearly 50 percent in 2022, according to data from the American Community Survey. The overall employment of adults with disabilities has also increased in these eight states after subminimum wage programs have ended.

Some of the law's most vocal opponents are former subminimum wage workers. Liz Weintraub, who has an intellectual disability and cerebral palsy, said she was told by her parents, doctors and other professionals that she was only capable of working in sheltered workshops, doing jobs like stuffing fliers into newspapers.

"My parents definitely didn't believe in me," Weintraub elaborated. "They were wonderful people but I think that they went to professionals, they listened to the doctors and the doctors said that this was the most I could do."

Years later, a staffer at the institutional setting where she lived believed that Weintraub could do more, and helped her get a job at the library. Now, Weintraub is a senior advocacy specialist at the Association of University Centers on Disabilities and speaks out against subminimum wage practices.

"It's really important to have someone who believes in you," she said. "I did all of this because people believed in me."

Pressure on Capitol Hill

Congressional opponents of the subminimum wage program have held out hope they still may be able to pass a bill before the end of the year. But it's unclear whether there's enough time for anything to pass through a closely divided GOP-led House — and a bottleneck of Republican lawmakers who support the existing law.

Several House and Senate aides who work on the issue have been privately urging the Labor Department to unilaterally act to end subminimum wages, believing that any rulemaking action by the department will ramp up pressure on Congress to pass legislation.

Sen. Bob Casey (D-Pa.) and Steve Daines (R-Mont.) and Reps. Robert C. "Bobby" Scott (D-Va.) and Cathy McMorris Rodgers (R-Wash.) have continued to advocate for passage of the 2023 Transformation to Competitive Integrated Employment Act, which would phase out the use of subminimum wages over a five-year period and allocate \$300 million to provide grants to states and individual certificate holders to transition workers into community jobs — or help keep employers open by employing people with disabilities at minimum wage.

Passage of the bill — or even parts of it — could provide what one Senate aide who works on the matter described as a "glide path" to allay the fears of families and employers who are concerned that a phaseout of the program would shutter their businesses and leave disabled workers without jobs.

The law's defenders, however, aren't giving up. Amy Carnevale, a well-connected lobbyist for K&L Gates, met with over 200 congressional offices in 2023 to advocate for the preservation of the program, she said in an interview. The Coalition for the Preservation of Employment Choice paid K&L Gates \$120,000 in 2023, according to lobbying disclosure reports reviewed by The Post.

Carnevale counts Reps. Glenn Grothman (R-Wis.) and Virginia Foxx (R-N.C.) and Sen. Tom Cotton (R-Ark.), who chairs the committee charged with oversight of the program, among the program's most important allies.

At the end of 2023, Foxx sent a letter to Su urging her to "refrain from making significant changes to policies related to [the program]." And

Grothman, who represents a district that's home to nearly a dozen sheltered workshops, has introduced bills to protect "employment choice."

During a U.S. Civil Rights Commission hearing examining the impacts of the program in 2019, Grothman testified that many employers would be unwilling to pay people with disabilities a minimum wage, resulting in the loss of their jobs altogether. He also questioned the need for disabled workers to earn additional income if they're supported by public benefits and their families.

"You may only be able to use one arm, if you have to hold somebody's head up, if you have a personality thing where you might have a fit or something like that — it's hard to find an employer who will pay \$7.50 an hour for something like that," Grothman testified.

In an interview with The Post, Grothman repeated some of those arguments and said that lawmakers would be "ruining peoples lives" if they shut down sheltered workshops.

With a threadbare Democratic majority in the Senate, proponents of a phaseout have similarly struggled to gain traction, and disability activists have lamented the lack of Democratic leadership in the upper chamber on the issue.

Some have taken issue with Sen. Bernie Sanders (I-Vt.), who chairs the Senate Committee on Health, Education, Labor and Pensions, for not prioritizing including a phaseout of the program in the reauthorization of the Workforce Innovation and Opportunity Act, a 2014 law that dictates how the U.S. trains workers and aims to boost employment and earnings.

A person familiar with the bipartisan negotiations said that the phaseout was integral to the original proposal put forward by the Sanders camp. Two Senate aides cited "political challenges" for the exclusion of the bill from the

current draft proposal but argued that Sanders has consistently sought to increase wages for workers with disabilities and supports ballot initiatives to end the program at a state level.

Sanders's leadership was a "frustrating" pivot from the last Congress, when Sen. Patty Murray (D-Wash.) chaired the Senate committee, said Julie Christensen, the executive director of the Association of People Supporting Employment First, which advocates for the phaseout.

"Patty Murray was a supporter of this and that was helpful," Christensen said. "But we're not seeing Bernie Sanders pushing his peers to move things forward because it's just not his top issue."

Casey has continued to push to include the subminimum wage changes in the reauthorization package, and is still negotiating to include at least some of the bill in the final text of the package, according to a person familiar with the dealmaking process who spoke on the condition of anonymity to discuss ongoing negotiations. Final markup of the package is expected to happen in September.

But if Congress won't act, Casey would support the Biden administration acting on its own.

"Some of this is a function of timing and opportunity," Casey said in an interview with The Post. "We have so much momentum and that momentum could dissipate if we don't act legislatively or in the case of a legislative pathway not being successful — then administrative action."

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